



FUTURE OF DIGITAL ADVERTISEMENTS IS HERE...

Affle India Initiating Coverage Report

Senior Research Analyst: Mayank Babla
Email: mayank.babla@dalal-broacha.com
Contact: 022-67141412 / 09819096294



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

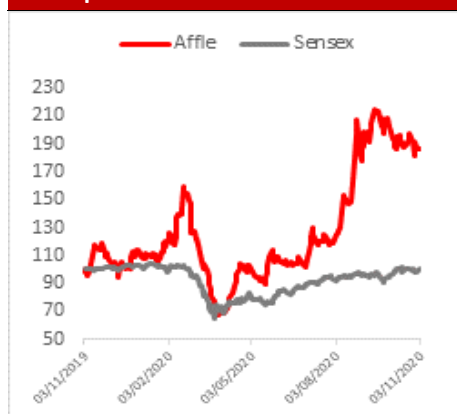
BUY

Current Price	2,652
Target Price	3,302
Upside	25%
52 Week Range	908/3143

Key Share Data

Market Cap (Rs.Bn)	68
Market Cap (US\$ Mn)	905
No of o/s shares (Mn)	25.5
Face Value	10
Monthly Avg.	
Vol(BSE+NSE)'000	44
BSE Code	542752
NSE Code	AFFLE
Bloomberg	AFFLE:IN

Price performance



Investment Rationale

High growth ad-tech industry coupled with differentiated Cost per Converted User (CPCU) model serve as key triggers for Affle

Digital ad or ad-tech industry is estimated to grow (ex-COVID) at 32%+ in India and 20%+ in the international market over the next 3 years. Key drivers for this strong double-digit growth are better internet and smartphone penetration, affordable data, spread of e-commerce and therefore, a shift in ad spend from other mediums such as TV, Print, etc.

CPCU model charges customer on user conversion / acquisition rather than impressions or clicks. Affle derives 77.8% of its top-line from CPCU model and 20.3% of Q1FY21 revenue from non-CPCU (i.e. CPM or CPC model). 66% of digital advertising goes towards Google, Facebook and other Social Media and balance 33% is Affle's addressable market. Increase in internet and smartphone penetration and mobile usage has resulted in massive amounts of consumer data which brands use to target specific consumer profiles. We expect this phenomenon to drive advertiser preferences from CPM/CPC model to a CPCU model – which should benefit companies like Affle with 1st mover's advantage.

CPCU model to ensure robust volumes and premium realizations

A CPCU business model involves higher engagement/participation (since it is a performance-based model) into a client's revenue conversion and also a higher success rate compared to CPM and CPC (which is media-based pricing for example cost per thousand impressions) and therefore client preference is increasingly shifting towards the former model. CPCU model also commands premium realizations, i.e. US\$0.1 – US\$0.3 per click compared to CPM model which is priced at US\$0.15 – US\$5 per 1000 impressions. This differentiated business model is also reflected in the historical performance as converted user volumes have grown at 32% CAGR over the last 5 years.

Presence across the Ad-tech ecosystem differentiates Affle and provides a competitive edge

Affle has strategically placed itself across the ad-tech value chain and ecosystem by taking an organic and inorganic approach. On the advertiser side, Affle is present in the Data Management space (which packages publisher's data for advertisers) through its Data Management Platform (mDMP) and offers bid aggregation solution through its Demand Side Platform (DSP). On the Publisher's side, it offers inventory aggregation space through its mobile Supply Side Platform (mSSP). Moreover, it is present in the non-CPCU or CPM or Media based pricing model and the Performance Based CPCU model organically whereas it is present in the SaaS business model through its acquisitions of RevX and Vizury (in 2018 and 2019 respectively). Lastly, Affle was earlier present only in the in-app advertisement space and acquired Mediasmart and Appnext to enter the online to offline user conversion and "out-of-app" space as well. Acquisition of stake in BobbleAI (Mint Keyboard) added depth to Affle's advertising avenues through app recommendations on the mobile keyboard. Mint keyboard is set to become the default keyboard on Xiaomi phones sold in India – giving Affle access to massive amounts of data and eyeballs.

% Shareholding	Sep-20	Jun-20
Promoters	68.38	68.38
Public	18.71	18.54
Others	12.92	13.08
Total	100	100

Consolidated Financials (In INR Mn)

YE March (Rs. mn)	Net Sales	% Growth	EBITDA	Margin (%)	PAT	PAT Margin (%)	EPS	Growth (%)	P/E (x)	ROE (%)	ROCE (%)
FY19	2494		703	28%	488	20%	20		132		
FY20	3338	34%	879	26%	655	20%	26	34%	101	29%	27%
FY21e	4907	47%	1160	24%	928	19%	36	42%	73	29%	25%
FY22e	6088	24%	1472	24%	1143	19%	45	23%	59	26%	25%
FY23e	7395	21%	1794	24%	1403	19%	55	23%	48	24%	25%



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Valuation & Outlook

Affle's presence across the ad tech ecosystem coupled with its tech stack and capabilities of in-app, outside-the-app and online to offline advertising and user conversion put the company in a unique position with a considerable competitive advantage in an industry which has a shortage of formidable competitors. We believe that performance of Category E (E-commerce, Ed-tech and Entertainment) and Category F (Fintech and Foodtech) will be key triggers during and after lockdowns as well. Increase in internet and smartphone penetration in India and Emerging markets should provide enough fuel to fire robust growth in the Mobile and Digital ad space over the next 2 to 5 years. Even in developed markets, Affle's competitive pricing and unique tech stack should offer a solid combination to penetrate and thrive. Lastly, we believe that a preference shift of advertisers and publishers from a CPM / CPC model to a CPCU model should provide massive tailwinds for Affle.

We expect Revenue to grow at a CAGR of 30% from INR 3338 Mn to INR 7395 Mn between FY20 and FY23e respectively; EBITDA to grow at CAGR of 27% from INR 879 Mn to INR 1,794 Mn between FY20 and FY23e; PAT to grow at CAGR of 29% from INR 655 Mn to INR 1403 Mn between FY20 and FY23e. Expect EPS to grow at CAGR of 28% from INR 26 in FY20 to INR 55 by FY23e.

We initiate coverage on the stock and assign a PE multiple of 60x FY23e EPS of INR 55 to arrive at a target price of INR 3,302

[We had earlier recommended Affle at INR 1,852 with a target price of INR 2,015 through our stock idea on 9th July 2020]



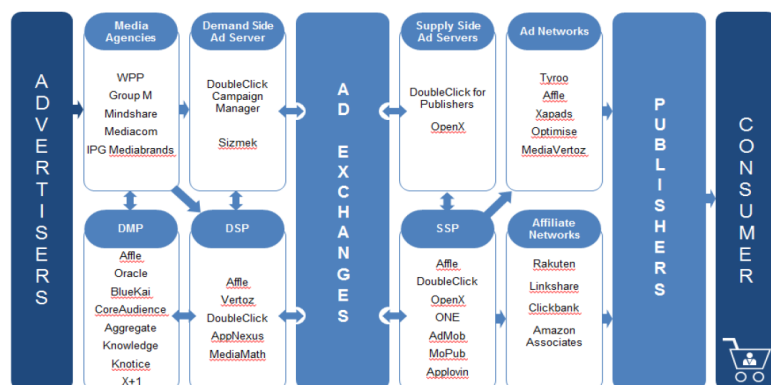
DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Industry Overview

Value Chain of Digital Advertising



Source: Affle DRHP, Frost & Sullivan

In the digital / programmatic advertising space, revenue flows automatically from the advertiser to the publisher and a part of the revenue is obtained by each constituent of the value chain. Notable players in the Digital Ad space are:

- Demand Management Platforms:** The platform packages user data from publishers so that advertisers can target specific audience segments
- Demand Side Platforms (DSP):** They aggregate the demand from advertisers around the world and conduit it automatically to enable super-fast bids on publisher inventory
- Supply Side Platforms (SSP):** These platforms aggregate the inventory from publishers around the world and enable automatic exposure to advertisers
- Ad Networks:** Ad networks are involved in aggregating inventory from similar publishers to match it with the advertisers' demand

Affle is present across the entire value chain through its various platforms except Ad Servers and Ad Exchanges.

There are 4 primary models in the ad tech industry:

S. No	Business model	Metrics	Typical Pricing Range
1	Media-based Pricing Model	Cost per media (for example, number of banners, videos)	USD 0.15 –USD 5 per thousand impressions
2	Performance-based pricing Model	Cost per click, Cost per sale, Cost per view, Cost per Action (such as app downloads)	USD 0.1 –USD 0.3 per click
3	Flat Fee Model	A flat rate for each media / channel	Varies
4	Software as a Service	Monthly fee based on technology stack, number of users targeted and so on	USD 15,000 –USD 35,000 per month

Source: Affle DRHP

Industry Dynamics: Approximately 66% of the Digital advertisements are dominated by CPM/CPC/CPV business models – 33% of digital ad spends goes to Google related ads, network or searches + 33% digital ad spend is towards Facebook and other Social Media networks and **balance 33% spend is Affle's main addressable market which is CPCU-based advertising – this bucket is growing faster than the first two buckets as per management.**

Cost Per Thousand Impressions (CPM) / Cost Per View: Ad inventories are typically priced based on a cost per thousand impressions (CPM) basis across media. CPM is an advertising metric that measures how much money an advertiser must spend to reach an audience base of 1,000. As in the figure above, advertisers are usually charged USD 0.15 to USD 5 per 1000 impressions and falls under the Media Based Pricing Model or Performance Based Pricing Model. CPM / Cost Per Click / Cost Per View are a more generic or wholesale form of advertising where an advert (video, banner, print ad, etc) are exposed to masses of audience with very less regard or specifics given to the target viewership. Although this form of advertising captures a broader audience, it lacks depth in terms of conversion of the viewer into a user or buyer.

Cost Per Converted User (CPCU): is a pure Performance based pricing model which comprises of user conversions based on consumer acquisition and transaction models. In a CPCU business model, the audience / viewers are highly targeted based on historic or predicted patterns such as purchases, browsing, travel history, etc. Comparatively, CPCU model is a more targeted approach to advertising than CPM, CPC or CPV model which means it has a higher conversion rate and involves higher price points.



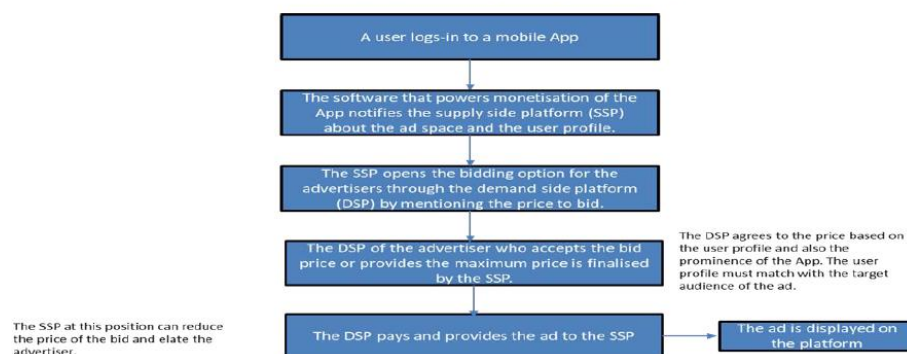
DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Advertising Industry – An Overview

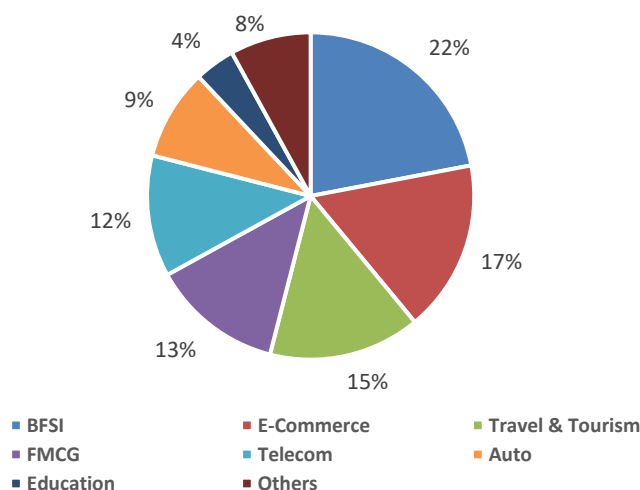
How does Digital Programmatic Advertisement work...



Digital & Mobile Advertisement Industry

Digital advertising industry stood at \$1.1 Bn in 2017 and is estimated to grow at 28.6% CAGR between 2017 to 2022 to \$4 Bn. Within digital advertising industry, mobile advertising is expected to propel its growth. Mobile advertisement industry is expected to grow at 32.7% CAGR to reach a \$1.93 Bn by FY22.

Digital advertisement spends by industry (%)



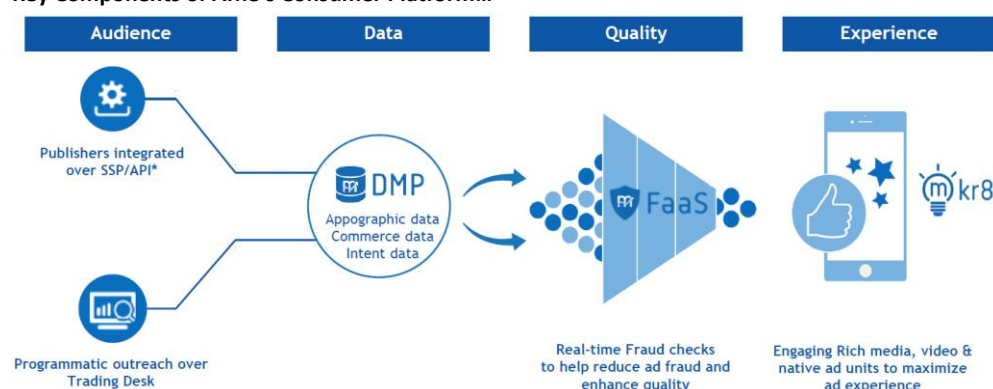
As of FY17, BFSI was the top spender at 22% of the pie followed by E-commerce at 17% and Travel & Tourism at 15% as far as digital ad spends were concerned. Advertising by e-commerce companies is estimated to grow at 35% CAGR till FY22 and is expected to usurp BFSI's mantle as the top advertiser in India. Driven by the pandemic, we expect FMCG, Education, Gaming (Others) Groceries (Others), Healthcare (Others) and FoodTech (Others) to grow at strong double digits and enough to get separate slice of the pie altogether.

Initiating Coverage@ Dalal&Broacha

Expect massive shift from CPC/CPM to CPCU business model as advertiser preferences change and consumer data is increasingly generated and available

Affle's revenue sources are divided into Consumer Platform (CP) and Enterprise Platform (EP) which contribute 98.1% and 1.9% to Q1FY21 revenue respectively. Within the Consumer Platform, Affle derives 79.3% of CP revenue from CPCU model and 20.7% of CP revenue from Non-CPCU (i.e. CPM/CPC model).

Key Components of Affle's Consumer Platform...



A CPCU business model involves higher engagement/participation (since it is a performance-based model) into a client's revenue conversion and also a higher success rate compared to CPM and CPC (which is media-based pricing for example cost per thousand impressions) and therefore client preference is increasingly shifting towards the former model.

CPCU model also commands premium realizations (see image on previous page), i.e. US\$0.1 – US\$0.3 per click compared to CPM model which is priced at US\$0.15 – US\$5 per 1000 impressions. This differentiated business model is also reflected in Affle's historical performance as **converted user volumes have grown at 32% CAGR over the last 5 years**.

Particulars	Q3FY19	Q4FY19	FY19	Q1FY20	Q2FY20	Q3FY20	Q4FY20	FY20	Q1FY21
Converted Users (Mn)	16.4	13.4	55.0	16.6	18.5	20.9	16.3	72.3	17.0
Average CPCU (INR)	41.0	40.0	40.4	41.2	41.6	41.1	40.1	41.0	41.0

Source: Affle FY20 Annual Report, Quarterly Investor Presentation

Affle's Price per Conversion in India & Emerging markets coupled with its tech stack create a moat

As per Q1FY21, Affle derives **48% of its revenue from India** and **52% from International markets** (South East Asia, Middle East & Africa, North America, Europe, Japan, Korea and Australia).

Since India, Middle East and South East Asia are emerging markets with high potential of penetration, they are highly price sensitive and therefore Cost Per Converted User (CPCU) has fairly remained stable with minor increase over the past 5 years whereas Converted Users (Volumes) have increased from 37.2 Mn in FY18 to 72.3 Mn in FY20. The CPCU rate of ~INR 41 is an average of domestic and international rates where rate in international market is >INR 41 and rate in India is <INR 41 (See information point below). Incidentally, the average CPCU rate in India & Emerging markets coupled with the Tech Stack and algorithms are Affle's competitive advantage. Many international players find it difficult to compete with Affle at such low price per conversion.

[Info: In FY19 on a consolidated basis, the average CPCU was INR 25.3 in India, INR 60.2 in Other Emerging Markets and INR 114.1 in Developed Markets. In FY18 on a Proforma Basis, Affle's average CPCU was INR 24.1 in India, INR 179.4 in North America, INR 132.6 in Europe, INR 79.5 in the Middle East and Africa, INR 180.8 for Japan, Korea and Australia combined and INR 46.7 in South East Asia]

One can expect volumes to grow at 25% CAGR over the next 3 - 5 years and realizations to improve by 3% over the next 2 years.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Affle's top 10 verticals at the dawn of "high growth phase" in India and Emerging markets



Source: Affle Quarterly Investor Presentation

90% of Affle's revenues come from verticals which are expected to report stellar growth momentum over the next 2-5 years

Expected Industry CAGR over next 2-5 years

- **E-commerce:** 35% CAGR
- **EdTech:** 8x-10x growth
- **Healthtech:** 18% CAGR
- **Groceries:** 57% CAGR
- **E-commerce:** 35% CAGR
- **Gaming:** 45% CAGR
- **Foodtech:** 25-30% CAGR
- **Fintech:** 23% CAGR

Affle derived more than 90% of its Q1FY21 revenue from its top 10 verticals namely E-Commerce, Entertainment, EdTech, Fintech, Foodtech, FMCG, Gaming, Groceries, Government and Healthcare which are categorized into Category E, F, G and H (as above). COVID has (unfortunately) benefited Affle as all the verticals that the company is present in has witnessed a sudden surge in demand. As per sources,

- ❖ **Health-tech:** or e-pharmacy industry is expected to grow at a CAGR of 18% from \$9.3 Bn to \$18 Bn between 2019 to 2023¹
- ❖ **Ed-tech:** industry in India is estimated at \$700 Mn as of September 2020 and is expected to grow by 8x – 10x over the next 5 years²
- ❖ **Groceries:** Online grocery industry is expected to grow from a mere \$1.9 Bn in 2019 to \$18.2 Bn in 2024 at a CAGR of 57%³
- ❖ **E-Commerce & Organized B&M or Omni-channel B&M:** This is Affle's largest vertical and company derives 30% of its revenue from e-commerce and 15% of revenue from its Top Customer. Online retail is expected to grow from \$36 Bn to \$87 Bn at a 35% CAGR. Omni-channel retail is expected to grow at 20% CAGR between the same period⁴
- ❖ **Gaming:** Online gaming industry is expected to grow at a 40-45% CAGR till FY22⁵
- ❖ **Food-tech:** market is expected to grow at 25-30% CAGR by FY22 as per BCG⁶
- ❖ **Fintech:** is expected to grow at a CAGR of 22.7% to INR 6,207 Bn by 2025⁷

Evidently, Affle is present in a high growing digital ad tech industry (32%+ CAGR) with end industries also expected to grow at stellar double digits over the next 2-5 years. Strong growth coupled with limited competition should drive growth from top-to-bottom in the digital adtech industry

Strong Client Base ensures that Affle is here to stay...

Industry	Client Name
E-commerce	Amazon, Flipkart, Jabong, Gojek, Meesho
Entertainment	Bookmyshow, AltBalaji, Spotify, Zee
Food Tech	Zomato, Swiggy, McDonalds, PizzaHut
FinTech	PhonePe
HealthTech	Reckitt Benkiser, Johnson & Johnson
Gaming	Games 24*7

Source: Affle RHP

¹ <https://www.livemint.com/news/india/ril-arm-acquires-majority-stake-in-online-pharmacy-netmeds-for-rs-620-crore-11597775715355.html>

² <http://www.businessworld.in/article/EdTech-Market-is-Booming-in-India-/20-09-2020-322696/>

³ <https://redseer.com/reports/online-grocery-what-brands-need-to-know/>

⁴ <https://redseer.com/newsletters/retail-3-0-the-emergence-of-the-omnichannel/>

⁵ <https://www.financialexpress.com/brandwagon/online-gaming-industry-in-india-is-expected-to-grow-at-a-cagr-of-47-by-fy22-study/1971125/>

⁶ <https://www.livemint.com/companies/start-ups/india-s-food-tech-sector-to-touch-8-billion-by-2022-11580238817043.html>

⁷ <https://www.cnbctv18.com/views/defining-the-future-of-fintech-in-post-pandemic-world-7209431.htm>

Affle's inorganic strategy combined with organic capabilities has created a moat in the digital ad tech space

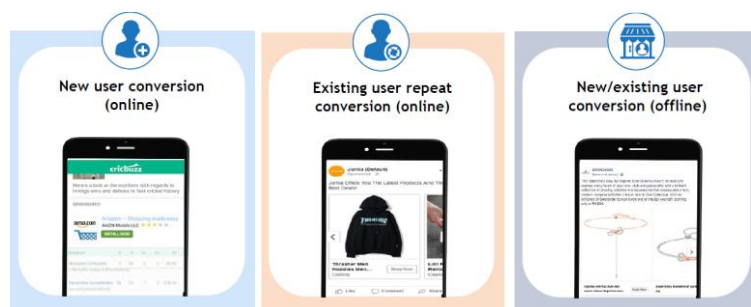
Company	Stake Acquired	Amount Paid	Cash / Stock	Revenue (LY)	Date	Registered Office	Segment
MediaSmart	100%	EUR 5.12 Mn	Cash	EUR 5.95	01-01-2020	Spain	Online to Offline Conversions
Appnext	67%	USD 17.25 Mn	Cash	USD 10.3 Mn	06-08-2020	Singapore	CPCU - Outside App Adverts
IndusOS	8%	INR 21.5 Cr	Cash	INR 18 Cr	07-02-2020	Singapore	Operating System on Samsung Phones
Bobble AI	8%	INR 19.8 Cr	Cash	USD 10.8 Mn	13-08-2020	Delhi	Bobble Keyboard
Total Inorganic Spend		INR 215.3 Cr					

Source: Company website, BSE Filings

RevX and Vizury were also acquisitions in 2019 which are now integrated and considered organic

RevX was acquired in June 2019 and contributes to CPCU business. RevX contains Demand Side Platform (DSP), Demand Management Platform (DMP) and Creative Services (largely in South East Asia and Middle East). As far as Vizury is concerned, its IP and brand-name (in India, Singapore and Dubai) were acquired in September 2018 and operates on a PaaS model and largely under the 2nd bucket (see image below) i.e. re-targeting of existing users.

Mediasmart Acquisition: Affle originally started with in-app advertisements with a tech stack that targeted (i) Acquisition of New Customers and (ii) Repeat conversion of existing user. By acquiring **Mediasmart** in January 2020, Affle acquired geo-tagging capabilities for new/existing user conversion through Online-to-Offline (O2O) mode. **Mediasmart** is a self-serve proximity platform which strengthens Affle's omnichannel capabilities to enable advertisers in driving online to offline conversions. Approximately 75% of **Mediasmart** business contributes to non-CPCU portion of Affle. RevX, Vizury and (75% of) Mediasmart contribute to International revenue of Affle.



Source: Company Corporate Presentation

In February 2020, Affle acquired an 8% strategic stake in **Indus OS** which enables the company to exclusively advertise on Samsung Appstore in India thereby adding a capability of advertising not only in-app, but O2O as well as in the Samsung Appstore. IndusOS also fits in Affle's vernacularisation strategy, i.e. penetrate in Tier 2 and Tier 3 cities in India. Advertisements / app recommendations placed in the Samsung Appstore will generate ample data which can be used for better ad targeting.

Appnext Acquisition

What the management realized was that OEMs not only want to sell the product but monetize it post-sales as well. Therefore, in August 2020, Affle acquired 67% stake in Appnext which gave the company capabilities to advertise outside the app at 20 different touchpoints on Android smartphones (i.e. on home page, lock page, widgets, AI dashboard, etc.). Appnext's top client (40-50% revenue concentration) is Xiaomi (highest sold smartphone in India in 2021) with whom the company recently renewed its contract for another 5 years. Through this acquisition, Affle achieved its purpose of not only being an in-app advertiser but also an outside-the-app advertiser and become the largest monetization partner for OEMs in South East Asia.

Key Stats of Appnext:

- Business model similar to Affle's current CPCU model
- 300 Mn Daily Active Users (DAUs) of which 100 Mn are from India
- Realizations at INR 32-35 with incremental volumes of 6-7 Mn per quarter.
- EBITDA margins at negative single digits and Net Margin ~-10% (in FY20) on acquisition which broke even in Q1FY21 itself.
- As per management, realizations can be scaled up to Affle level over the next 12 months and net margins to 8-10% in the next 12 months.
- Revenue to grow at 25% CAGR over next 4 years

Note: For Appnext, we bake in a revenue CAGR of 20% between FY20 and FY23e from \$10.3 Mn to \$18 Mn in our consolidated estimates. We expect EBITDA margins to improve from -5% odd in FY20 to +25% by Q4FY23e and Net Margins to improve from -10% in FY20 to +18% by Q4FY23e.

Bobble AI (8% Stake)

BobbleAI is a multimedia keyboard software (called "Mint Keyboard") for mobile phones and is accessible in 100 international languages including 23 Indian languages. With the acquisition of an 8% stake in BobbleAI, Affle is now entitled to exclusively advertise (app recommendations) on every BobbleAI enabled mobile phone for the next 5 years. Moreover, the advertising on BobbleAI keyboard is also a great source of data as datapoints such as which App was downloaded, Time, Date, User Profile, etc. can be now availed by Affle. Please note, that data typed on the keyboard is not shared with Affle as that data is privy only to BobbleAI.



With the acquisition of this stake, Affle has now expanded the depth of its advertisement avenues from in-app and outside-app to the mobile keyboard (a software which is used practically across all apps) as well. Additionally, like the stake acquisition in IndusOS, stake in BobbleAI also strengthens Affle's vernacularisation strategy to penetrate Tier 2 and 3 cities in India.

The biggest kicker comes in the fact that in August 2020, Bobble AI has partnered with Xiaomi to pre-embed its "Mint Keyboard" as a Default Keyboard in all Xiaomi devices (~43.6 Mn units sold in India in 2019) sold in India. This will not only give Affle a big boost in terms of eyeballs and gain traction amongst app advertisers interested in the Indian market but also provide a source of data which can be used for more accurate ad-targeting.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

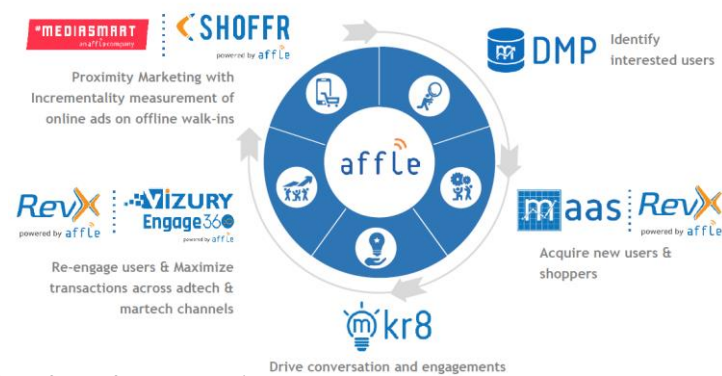
Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Key Stats of Bobble Stake:

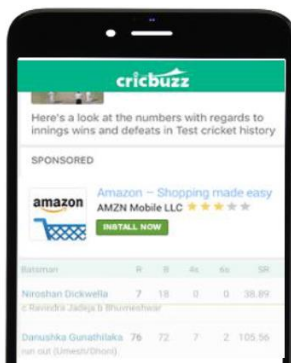
- Access to exclusive advertising on Bobble's multimedia keyboard called "Mint Keyboard"
- Agreement between Xiaomi and BobbleAI to pre-embed phones with Mint Keyboard in all devices sold in India
- Access to certain keyboard data which can be used to improve accuracy of advertisement

In conclusion, Affle has created significant moat for itself through developing a unique tech stack (in-app, outside-app and mobile keyboard) and at affordable rates (thereby fulfilling its vision of Affordable Mobile) by adopting the organic and inorganic route.



Source: Company Corporate Presentation

In-app advertisements...



Outside-app (home, lock-screen, widgets, etc.) app recommendations enable through Appnext



Initiating Coverage@ Dalal&Broacha

mFaaS – Affle's fraud detection platform enables strong data distillation and increases accuracy of ad-targeting

Affle's mFaaS platform conducts real-time fraud checks to help reduce ad fraud and enhance quality. **mFaaS coupled with robust algorithms enable Affle to deliver high ROI to customers.** Affle has filed 10 patents in US and India related to digital ad fraud detection. Affle's expertise in this proprietary software is accredited by various authorities in the digital ad space.



Source: Company Corporate Presentation

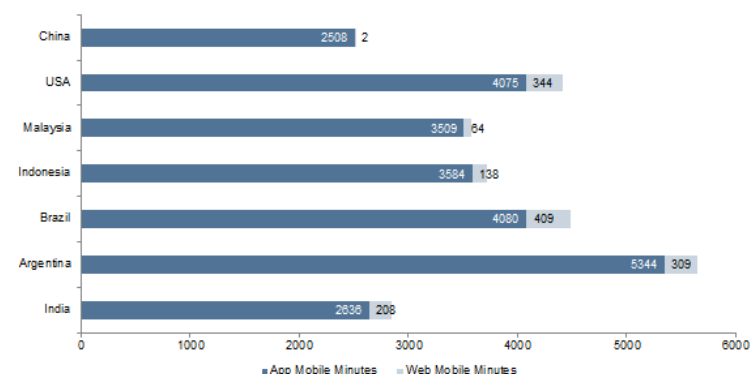
**Expect CPCU converted users and Average CPCU rate to grow at 19% and 1% CAGR between FY20 and FY23e respectively**

	CPCU Revenue				CAGR FY20-FY23E	
YE March (Rs. mn)	FY19	FY20	FY21E	FY22E	FY23E	
Converted Users (Mn)	55	72	83	100	120	19%
Average CPCU (INR)	40	41	41	42	42	1%

Source: Company Corporate Presentation

Why we believe that CPCU model and in turn Affle has a robust future lying ahead...

- **Increase in smartphone penetration in India & Emerging markets:** should bring about massive increase in app downloads. Internet penetration in India stands at ~35-40% with majority of it being through mobile phones. As of 2017, Internet Density (number of internet users per 100) in Rural India stood at only 14.89 versus 76.76 in Urban India. Also, smartphone penetration in India stood at 33.8%. **Going ahead, internet penetration in India is going to increase mainly on the back of penetration in rural India – which first perfectly into Affle's vernacularisation and penetration into Tier 2 and Tier 3 cities.**
- **Increase in screen-time due to pandemic:** WFH during pandemic has resulted in a huge surge in mobile usage

Time spent on Apps and Web on Mobile per country...

Source: Affle RHP and ComScore

As of 2017, an average mobile user spends 2,844 minutes per month on the device in India. Of this, 92% of the time is spent in apps. We believe that this number would have witnessed a significant surge during the pandemic, in turn benefiting players like Affle.

- **Shift from physical to digital economy:** Due to the pandemic, a typical consumer's entire lifestyle has turned digital. Improvement in the financial technology space (especially payments) post de-monetization has turned out to be a blessing in disguise for the pandemic period as everything – right from groceries to consumer electronics to logistics to even education - are now available digitally.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

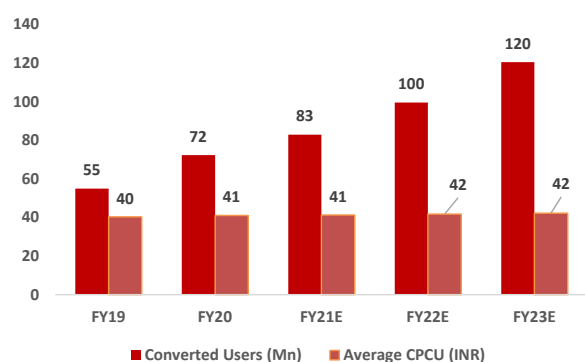
Initiating Coverage@ Dalal&Broacha

Additionally, lockdowns have restricted advertisements in Theatres, Newspapers and Radio even (as people travel less) This has resulted in a massive shift in ad trends towards mobile and digital advertising.

- **Appification of the globe: EVERYTHING has an app.** Just to draw an image, humans have come from using the "Clock" in a mobile to using an App to make one sleep as well (eg. Calm). The nearby gym has been converted into an app on your phone. All these phenomena have resulted in more eyeballs for advertisers (and that too with extremely accurate targeting due to algorithms) and more space for publishing ads.
- **Data indeed is the new oil:** as per the documentary on Netflix – "Social Dilemma" – every step on the web / app is traced. Internet companies today not only have general data (Gender, Age, Sex, etc.) of the mobile user but also data such as social preferences, order history, travel history, food preferences, etc. **This data is collected by companies and used by brands to target specific users with specific products or services – and that is why we believe that advertising will not only see channel shifts, but also business model shifts (from CPM / CPC to CPCU) and HENCE expect Affle (which has a 1st mover's advantage in India and EMs) to thrive in the future.**

We expect volumes to grow faster than realizations, owing to larger exposure to Emerging Markets and the inherent price elasticity. One can conservatively expect volumes (CPCU users) to grow at 19% CAGR from 72.3 Mn users to 120 Mn users and Average CPCU rate to increase from INR 40.3 to INR 42 between FY20 and FY23e respectively.

Converted Users and Average CPCU Rates...



Source: Dalal & Broacha Research

We expect non-CPCU revenues to grow at 49% CAGR (albeit at a lower base of INR 279 Mn) from INR 279 Mn to INR 1141 Mn between FY20 to FY23e. As of Q1FY21, CPCU business contributed 78%, non-CPCU contributed 20% and Enterprise contributed 2% to top-line respectively. We expect this mix to change to 81%, 17% and 1% by FY23e respectively.



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Will increase in Data Regulations in Emerging Markets create hurdles for Affle?

One of the key risk concerns in the digital ad space is breach of data privacy and raises several questions such as 'Will Affle be able to sustain its accurate ad-targeting if regulations increase in EMs?'. However, Affle's presence in Europe (~10% of revenues) and patents in US and Singapore, which are highly data regulated geographies, ensures that it is compliant and able to operate in a highly regulated environment as well.

Data Privacy / IP Portfolio	
8	<u>Patents in US & Singapore</u>
3	<u>Patents registered in US</u>
#1	Consumer Acceptable Advertising
#2	Online Search System method & Computer Program
#3	Extending the use and/or application of messaging systems
1	<u>Patent filed in US</u>
#4	Partner pixelling for user identification
4	<u>Patents filed in Singapore</u>

Source: Company Corporate Presentation

Affle has 8 patents registered in the US & Singapore, related to data privacy and method of data collection, which ensure that the company is compliant with geographies which are relatively highly regulated compared to EMs and therefore it is safe to assume that increase in data regulations in India, Indonesia, ME will not impact operations going ahead



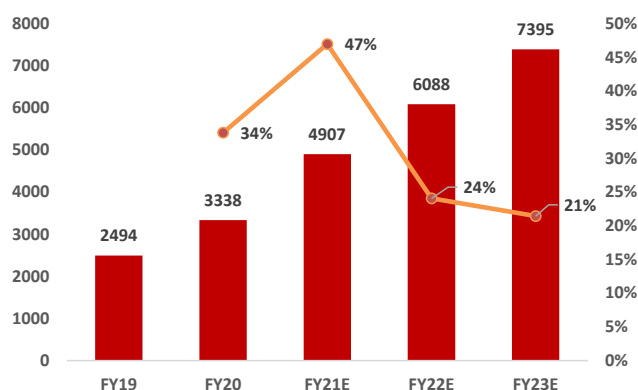
DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

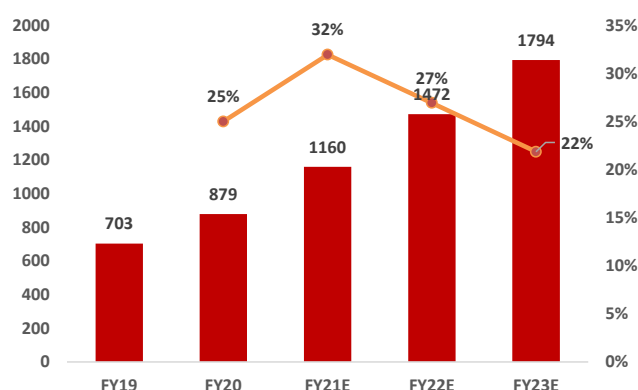
Initiating Coverage@ Dalal&Broacha

Financials

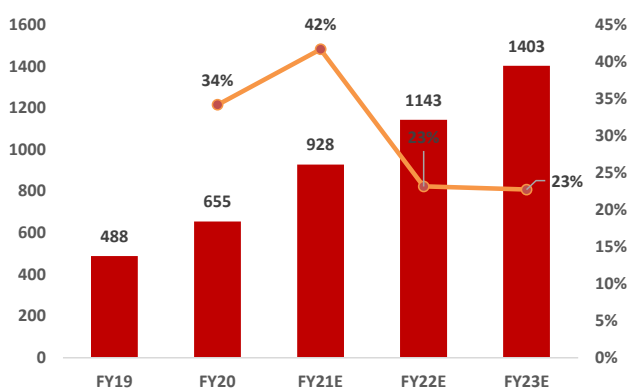
Revenue (INR Mn) & Revenue Growth (%)...



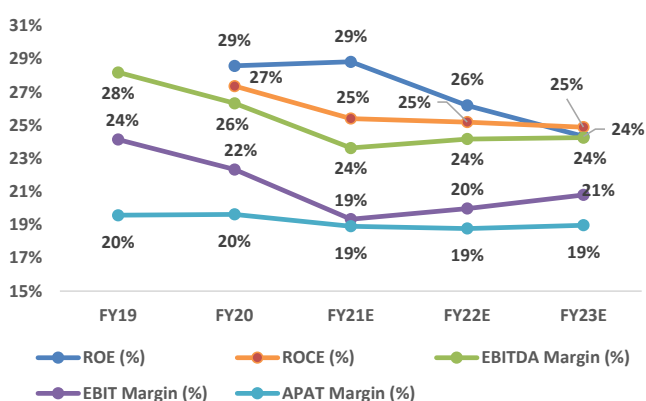
EBITDA (INR Mn) & EBITDA Growth (%)...



PAT (INR Mn) & PAT Growth (%)...



EBITDA Margin, PAT Margin, EBIT Margin, ROE, ROCE (%)



We expect Revenue to grow at a CAGR of 30% from INR 3338 Mn to INR 7395 Mn between FY20 and FY23e respectively; EBITDA to grow at CAGR of 27% from INR 879 Mn to INR 1,794 Mn between FY20 and FY23e; PAT to grow at CAGR of 29% from INR 655 Mn to INR 1403 Mn between FY20 and FY23e. We expect EBITDA margin to be maintained in the 23-25% band and PAT margin to remain in the 18-20% band between FY20 and FY23e. One can expect ROE to remain in the 24-26% band and ROCE in the range of 24-26% between FY20 and FY23e.

Working Capital Cycle: Affle's collection cycle from customers is on an average 90 days and payment cycle towards data & inventory costs is 60 days.

Capitalization Trend: adding \$1.2 Mn per quarter to intangibles for FY21e

Initiating Coverage@ Dalal&Broacha

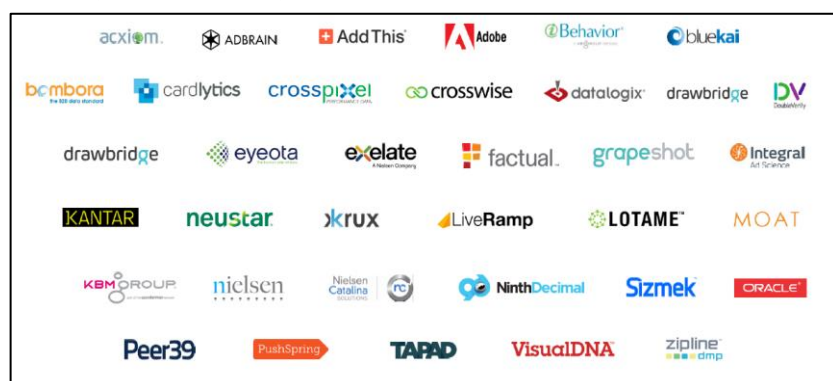
Cost Analysis: 58% of revenue is expense towards data & inventory costs which is largely for the ad inventory and data acquisition for better advertising.

Common Sized P&L		
YE March (% of Revenue)	FY19	FY20
Revenue from Operations	100%	100%
Inventory and Data Costs	54%	58%
Employee Benefit Expense	9%	8%
Other Expenses	10%	8%
Total Operating Expenses	72%	74%
EBITDA	28%	26%
EBIT	24%	22%
Interest Paid	0%	0%
Other Income	0%	2%
PBT	24%	24%
Tax Expenses	4%	4%
Net Profit	20%	20%

Data is generally acquired from partners and providers (see image below left) which is the largest cost component for a digital advertisement company. Affle's platforms such as Demand Side Platform (DSP) for advertisers and Supply Side Platform (SSP) for publishers coupled with global partnerships enable the company to acquire consumer data for better ad-targeting.

Info: 10% of Affle's Data & Inventory Costs goes towards Google / Facebook. Therefore, in this complicated digital ad space, Google & Facebook are not only competitors, but also partners.

Where digital advertising companies acquire data from...



Source: Trade Desk Quarterly Presentation

Peer Analysis

Affle's peer group largely comprises of global digital advertisers namely Trade Desk, Digital Turbine, Criteo, InMobi, Freakout, MobVista and YouAppi. Currently, all the players in the peer group either have exposure to different business models or are present in different geographies.

Trade Desk: is largely present in and focussed on advertisements on the Connected TV space (reaches 120 Mn Connected TV devices in the US alone) and CPM model with presence in North America, West Europe, Australia and East Asia. Company recorded revenue of \$661 Mn in FY19. Metrics indicate that CMP on Connected TV stands at \$20 (with 1:1 ad targeting) vs Traditional TV at \$10. EBITDA margins range from 10% in Q2CY20 to 38% in Q4CY19. Trade Desk is currently trading at 236x TTM EPS.

Digital Turbine: provides a technology platform which OEMs and mobile operators embed in the devices which in turn delivers user acquisition through app recommendations and advertisements. The company generated \$138 Mn in revenue in FY20 and has EBITDA margins ranging 15-25%.

InMobi: has 3 core businesses, i.e. consumer data management tool, unified marketing cloud and Glance – a service that shows media content in local languages on the lockscreen of Android powered phones. It had reported revenues of INR 3842 Mn in FY19 with a net loss of INR 540 Mn.⁸

⁸ <https://www.livemint.com/> - InMobi's losses surge to ₹54 crore in FY19



DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Valuation & Outlook

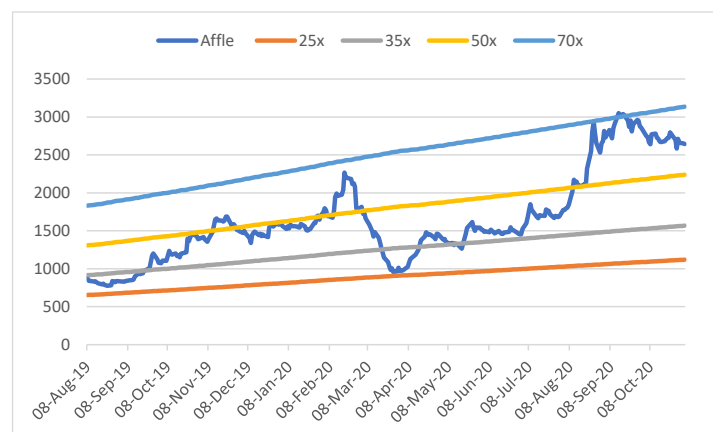
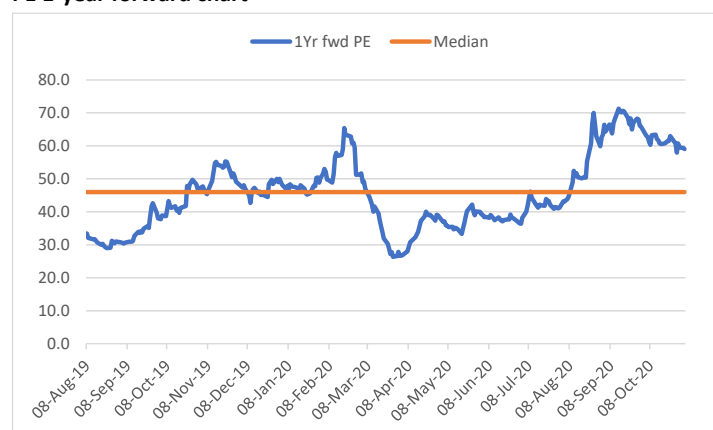
Affle's presence across the ad tech ecosystem coupled with its tech stack and capabilities of in-app, outside-the-app and online to offline advertising and user conversion put the company in a unique position with a considerable competitive advantage in an industry which has a shortage of formidable competitors. We believe that performance of Category E (E-commerce, Ed-tech and Entertainment) and Category F (Fintech and Foodtech) will be key triggers during and after lockdowns as well. Increase in internet and smartphone penetration in India and Emerging markets should provide enough fuel to fire robust growth in the Mobile and Digital ad space over the next 2 to 5 years. Even in developed markets, Affle's competitive pricing and unique tech stack should offer a solid combination to penetrate and thrive. Lastly, we believe that a preference shift of advertisers and publishers from a CPM / CPC model to a CPCU model should provide massive tailwinds for Affle.

We expect Revenue to grow at a CAGR of 30% from INR 3338 Mn to INR 7395 Mn between FY20 and FY23e respectively; EBITDA to grow at CAGR of 27% from INR 879 Mn to INR 1,794 Mn between FY20 and FY23e; PAT to grow at CAGR of 29% from INR 655 Mn to INR 1403 Mn between FY20 and FY23e. Expect EPS to grow at CAGR of 28% from INR 26 in FY20 to INR 55 by FY23e.

We initiate coverage on the stock and assign a PE multiple of 60x FY23e EPS of INR 55 to arrive at a target price of INR 3,302

[We had earlier recommended Affle at INR 1,852 with a target price of INR 2,015 through our stock idea on 9th July 2020]

PE 1-year forward chart





DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Financial Ratio Analysis					
YE March (Rs. mn)	FY19	FY20	FY21E	FY22E	FY23E
Revenue from Operations	2494	3338	4907	6088	7395
% Growth		34%	47%	24%	21%
Operating Expenses					
Inventory and Data Costs	1341	1921	2441	2894	3506
Employee Benefit Expense	212	273	350	404	507
Other Expenses	237	265	341	452	609
Total Operating Expenses	1791	2459	3747	4616	5601
EBITDA	703	879	1160	1472	1794
Growth (%)		25%	32%	27%	22%
EBITDA Margin (%)	28%	26%	24%	24%	24%
Less: Depreciation	101	133	211	255	255
EBIT	602	746	949	1217	1539
Growth (%)		24%	27%	28%	26%
EBIT Margin (%)	24%	22%	19%	20%	21%
Interest Paid	8	14	14	12	10
Other Income	4	61	114	140	122
PBT	598	792	1048	1345	1651
Tax Expenses	110	137	120	202	248
Net Profit	488	655	928	1143	1403
Adjust PAT	488	655	928	1143	1403
Growth (%)		34%	42%	23%	23%
APAT Margin (%)	20%	20%	19%	19%	19%
EPS	20	26	36	45	55
Growth (%)		30%	39%	23%	23%

Financial Ratio Analysis					
YE March (Rs. mn)	FY19	FY20	FY21E	FY22E	FY23E
Profitability Ratios					
ROE (%)		29%	29%	26%	24%
ROCE (%)		27%	25%	25%	25%
ROA (%)	22%	12%	12%	13%	13%

Financial Leverage Ratios					
Debt / Equity (x)	0.1x	0.3x	0.3x	0.2x	0.1x
Interest Coverage (x)	87x	62x	82x	124x	186x
Interest / Debt (%)	9%	2%	2%	2%	2%

Asset Turnover Ratios					
Debtors (Days)	105	110	118	110	105
Creditors (Days)	70	81	75	80	80

Valuation Ratios					
Book Value (Rs.)	28	90	126	171	226
P/E (x)	132	101	73	59	48
P/BV (x)	93	30	21	15	12
EV/EBITDA (x)	96	76	58	45	36
Market Cap. / Sales (x)	27	20	14	11	9
Net Cash / Mkt Cap (%)	0%	1%	1%	2%	4%
Dividend Yield (%)	0	0	0	0	0
Dividend Per Share	0	0	0	0	0
EV					
Market Cap	67,615	67,615	67,615	67,615	67,615
Net Cash	215	627	770	1542	2682
Net Debt	-215	-627	-770	-1542	-2682
Dividend Payout Ratio (%)	0%	0%	0%	0%	0%
Current Market Price	2652	2652	2652	2652	2652

Free Cash Flow Statement				
INR Mn	FY20	FY21E	FY22E	FY23E
EBITDA	879	1160	1472	1794
FC Investment	790	773	350	350
WC Changes	134	-105	-315	-206
Depreciation Tax Shield	23	24	38	38
Tax Expenses	152	133	221	269
FCFF	398	440	1066	1546

Balance Sheet					
Particulars	FY19	FY20	FY21E	FY22E	FY23E
EQUITY					
Equity Share Capital	243	255	255	255	255
Other Equity	481	2037	2965	4108	5511
Total Equity	724	2292	3220	4363	5766
LIABILITIES					
Non-Current Liabilities					
Financial Liabilities					
Borrowings	69	281	481	431	381
Total Non-Current Liabilities	87	433	515	465	415
Current Liabilities					
Financial Liabilities					
Borrowings	21	357	357	307	257
Trade Payables					
Others	517	743	1012	1130	1329
Other Financial Liabilities	199	70	70	81	101
Total Current Liabilities	771	1276	1532	1620	1794
Total Equity and Liabilities	1583	4000	5267	6448	7975

Non-Current Assets					
Property Plant & Equipment					
Gross Block	15	24	333	583	833
Less: Depreciation	8	14	224	480	735
Net Block	7	10	109	103	98
Goodwill	325	1107	1570	1670	1770
Other Intangible Assets	240	474	474	474	474
Financial Assets					
Investments	0	0	990	1490	1740
Total Non-Current Assets	592	1679	3232	3839	4196
Current Assets					
Contract Asset	132	199	270	335	407
Financial Assets					
Trade Receivables	479	744	1008	1334	1621
Cash and Cash Equivalents	206	696	618	790	1579
Total Current Assets	991	2321	2035	2609	3779
Total Assets	1583	4000	5267	6448	7975

Cash Flow Statement				
Particulars	FY20	FY21E	FY22E	FY23E
PAT	655	928	1143	1403
Less: Non Operating Income	-61	-114	-140	-122
Add: Depreciation	133	211	255	255
Add: Interest Paid	14	14	12	10
Operating Profit before WC Changes	742	1040	1270	1546
(Inc)/Dec in Current Assets	-370	-361	-402	-380
Inc/(Dec) in Current Liabilities	504	256	87	174
Net Cash Generated From Operations	876	935	955	1341
Cash Flow from Investing Activities				
(Inc)/Dec in Fixed Assets	-1182	-774	-362	-363
(Inc)/Dec in Investment (Strategic)	-37	-990	-500	-250
Add: Non Operating Income Income	61	114	140	122
Net Cash Flow from Investing Activities	-1160	-1650	-722	-491
Cash Flow from Financing Activities				
Inc/(Dec) in Total Loans	329	82	-50	-50
Less: Interest Paid	-14	-14	-12	-10
Net Cash Flow from Financing Activities	1244	68	-62	-60
Net Inc/Dec in cash equivalents	960	-647	172	790
Opening Balance	305	1265	618	790
Closing Cash and Cash Equivalents	1265	618	790	1579



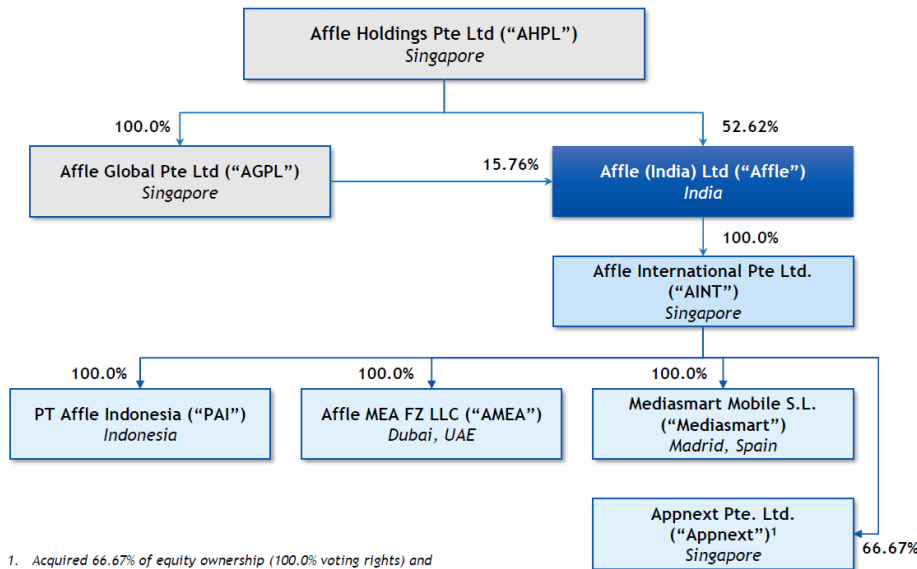
DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

About the Company

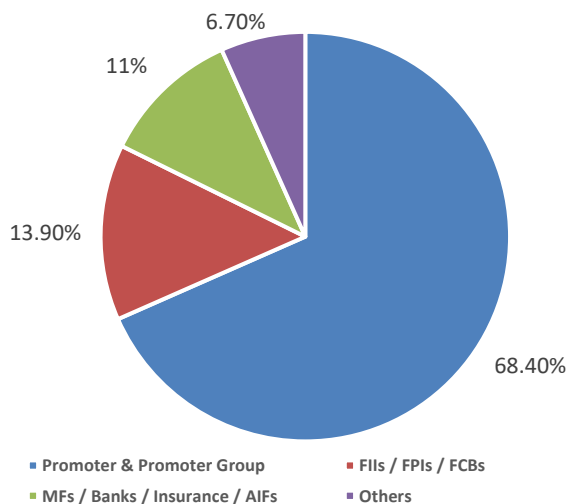
Corporate Structure



Key Investors of the Promoter (AHPL)



Shareholding Pattern





DALAL & BROACHA
STOCK BROKING PVT. LTD.

Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha

Affle India: Board Composition

Board of Directors	Key Information Related to BOD
Anuj Khanna Sohum	Mr. Anuj Khanna Sohum is the Founder, Chairman and CEO of Affle having experience of over a decade in leading tech and data platform-based businesses. He is an alumnus of Harvard Business School, Stanford GSB and NUS Computer Engineering. Anuj Soham aims to address industry challenges including digital fraud and data privacy through technology innovations.
Anuj Kumar	Mr. Anuj Kumar is the Co-founder, Chief Revenue & Operating Officer and also the Executive Director of Affle. From building partnerships to playing a pivotal role in Affle's core business, Anuj has been at the forefront to make Affle a leading mobile platform company. He has media and advertising industry experience of over 18 years and has previously worked with large global media companies such as ESPN STAR Sports, GroupM Mindshare and JWT.
Kapil Bhutani	Mr. Kapil Bhutani is the Chief Financial & Operations Officer working on key matters related to finances, legal, IT, Admin & HR. He has previously worked as an audit partner at S. Mohan & Co, a highly respected Chartered Accountancy firm in India and as a Vice President at KMG Infotech, a New York based software development company. Kapil has over 20 years of audit and industry experience and he graduated from Delhi University and is a member of the Institute of Chartered Accountants of India.
Sumit Chadha	Sumit Mamak Chadha is the Independent Non-Executive Director and Chairperson of CSR Committee at Affle. Previously she has worked as a Director for Citibank for 20 years and Managing Director of BlackRock Services India for two years. Sumit has over 29 years of experience in Banking & Financial Services and she is also an alumnus of the University of California.
Vivek Gour	Mr. Vivek N Gour is the Independent Non-Executive Director and Chairperson of Audit Committee at Affle. He has over 35 years of experience in marketing, financial services and aviation industry. Previously, he has also worked in Genpact India and has also been the Managing Director and the Chief Executive Officer of Air Works India (Engineering) Private Limited. Currently, he is also serving as a Director on the Board of IndiaMART InterMESH Limited and Cyient Ltd.
Bijay Nawal	Mr. Bijay Nawal is the Independent Non-Executive Director and Chairperson of Nomination & Remuneration Committee and is a corporate lawyer with two decades of legal practice experience with a particular focus on M&A and regulatory work. Previously, he was the Managing Director of PwC's network law firm in Singapore prior to him establishing the law firm, Oxon Law. Bijay was a partner with Drew & Napier and oversaw various IPOs of local and foreign companies on both boards of the Singapore Stock Exchange.
Naresh Gupta	Mr. Naresh Chand Gupta is the Independent Non-Executive Director at Affle. Previously, he was working as a Director at Applied Artificial Intelligence Group and as a Senior Vice President at Print & Publishing Business Unit at Adobe Inc. Naresh is a doctorate from the University of Maryland.

Top Customer Revenue Profile

% of revenue from Top Customers (FY19)	% Terms
Revenue from Top Client	22%
Revenue from 2 nd Top Client	20.8%
Revenue from Top 10 Clients	64.5%



Analyst: Mayank Babla (022) 67141412

Initiating Coverage@ Dalal&Broacha**Disclaimer**

Dalal & Broacha Stock Broking Pvt Ltd, hereinafter referred to as D&B (CIN_U67120MH1997PTC111186) was established in 1997 and is an integrated financial services player offering an extensive range of financial solutions and services to a wide spectrum of customers with varied needs ranging from equities to mutual funds to depository services.

D&B is a corporate trading member of Bombay Stock Exchange Limited (BSE), National Stock Exchange of India Limited (NSE). D&B along with its affiliates offers the most comprehensive avenues for investments and is engaged in the securities businesses including stock broking (Institutional and retail), depository participant, portfolio management and services rendered in connection with distribution of primary market issues and financial products like mutual funds, fixed deposits. Details of associates are available on our website i.e. www.dalal-broacha.com

D&B is registered as Research Analyst with SEBI bearing registration Number INH000001246 as per SEBI (Research Analysts) Regulations, 2014.

D&B hereby declares that it has not defaulted with any stock exchange nor its activities were suspended by any stock exchange with whom it is registered in any time in the past. It has not been debarred from doing business by any Stock Exchange / SEBI or any other authorities; nor has its certificate of registration been cancelled by SEBI at any point of time.

SEBI and Stock Exchanges have conducted the routine inspection and based on their observations have issued advice letters or levied minor penalty on D&B for certain operational deviations in routine course of business.

D&B offers research services to clients as well as prospects. The analyst for this report certifies that all of the views expressed in this report accurately reflect his or her personal views about the subject company or companies and its or their securities, and no part of his or her compensation was, is or will be, directly or indirectly related to specific recommendations or views expressed in this report.

Other disclosures by D&B (Research Entity) and its Research Analyst under SEBI (Research Analyst) Regulations, 2014 with reference to the subject company(s) covered in this report:-

D&B or its associates may have financial interest in the subject company.

D&B or its associates do not have any material conflict of interest in the subject company.

The Research Analyst or Research Entity (D&B) has not been engaged in market making activity for the subject company.

D&B or its associates may have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report.

Disclosures in respect of Research Analyst:

Whether Research Analyst or his/her relatives have actual/beneficial ownership of 1% or more securities of the subject company at the end of the month immediately preceding the date of publication of Research Report:	No
Whether the Research Analyst or his/her relative's financial interest in the subject company.	No
Whether the research Analyst has served as officer, director, or employee of the subject company	No
Whether the Research Analyst has received any compensation from the subject company in the past twelve months	No
Whether the Research Analyst has managed or co-managed public offering of securities for the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months	No
Whether the Research Analyst has received any compensation or other benefits from the subject company or third party in connection with the research report	No

D&B and/or its affiliates may seek investment banking or other business from the company or companies that are the subject of this material. Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients that reflect opinions that are contrary to the opinions expressed herein, and our proprietary trading and investing businesses may make investment decisions that may be inconsistent with the recommendations expressed herein.

In reviewing these materials, you should be aware that any or all of the foregoing, among other things, may give rise to real or potential conflicts of interest including but not limited to those stated herein. Additionally, other important information regarding our relationships with the company or companies that are the subject of this material is provided herein. This report is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject D&B or its group companies to any registration or licensing requirement within such jurisdiction. Specifically, this document does not constitute an offer to or solicitation to any U.S. person for the purchase or sale of any financial instrument or as an official confirmation of any transaction to any U.S. person. Unless otherwise stated, this message should not be construed as official confirmation of any transaction. No part of this document may be distributed in Canada or used by private customers in United Kingdom. All material presented in this report, unless specifically indicated otherwise, is under copyright to D&B. None of the material, nor its content, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party, without the prior express written permission of D&B. All trademarks, service marks and logos used in this report are trademarks or

**DALAL & BROACHA**
STOCK BROKING PVT. LTD.**Analyst:** Mayank Babla (022) 67141412**Initiating Coverage@ Dalal&Broacha**

registered trademarks of D&B or its Group Companies. The information contained herein is not intended for publication or distribution or circulation in any manner whatsoever and any unauthorized reading, dissemination, distribution or copying of this communication is prohibited unless otherwise expressly authorized. Please ensure that you have read "Risk Disclosure Document for Capital Market and Derivatives Segments" as prescribed by Securities and Exchange Board of India before investing in Indian Securities Market. In so far as this report includes current or historic information, it is believed to be reliable, although its accuracy and completeness cannot be guaranteed.

Contact	Email ID	Contact No.	Sector
Mr. Kunal Bhatia	kunal.bhatia@dalal-broacha.com	022 67141442	Auto, Auto Ancillary, FMCG
Mrs.Charulata Gaidhani	charulata.gaidhani@dalal-broacha.com	022 67141446	Pharma /Healthcare
Mr. Mayank Babla	mayank.babladalal-broacha.com	022 67141412	I.T/Telecom/Media
Mr. Avinash Tanawade	avinash.tanawade@dalal-broacha.com	022 67141449	BFSI
Mr. Akshay Ashok	akshay.ashok@dalal-broacha.com	022 67141486	BFSI
Mr. Suraj Nandu	suraj.nandu@dalal-broacha.com	022 67141438	Associate
Mr. Tanush Mehta	tanush.mehta@dalal-broacha.com	022 67141441	Associate

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992, 2287 6173, Fax: 91-22-2287 0092

E-mail: research@dalalbroachaindia.com, equity.research@dalal-broacha.com